PRESCRIPTION FOR PROFIT

Name: Rashtriya Ispat Nigam Ltd (RINL) or Vizag Steel
Location: Visakhapatnam
Year it was set up: 1982
No. of employees: 35,724
Land holdings: 19,703 acres

- **RETAIN RNIL** as a central public sector enterprise (CPSE)
- **TRANSFER 16,872 ACRES** in the name of RINL, instead of holding it in the name of the President of India, to improve company credit rating and enable it to raise loans at competitive rates
- **MONETISE THE SURPLUS** 2,830 acres to raise extra funds
- **ALLOT CAPTIVE MINES** to help RINL cut costs on sourcing iron ore
- **SELL FORGED WHEEL PLANT** in Raebareli in UP to raise Rs 2,500 crore and sell stake in Orissa Minerals Development Company for Rs 1,500 cr
- **EARN GOODWILL** of the land evacuees by enlisting 8,000 fourth-generation rehabilitation card-holders and giving them employment

happened with Rashtriya Ispat Nigam Limited (RINL), or Vizag Steel, as it is popularly known. On the block for privatisation, India's first shore-based, state-owned steelmaker announced its best-ever performance since its inception in 1982 this April 1. RINL recorded sales of Rs 28,008 crore in the just-concluded financial year, a growth of 56 per cent over the year before. Its profit before tax was Rs 835 crore in FY22, as its chairman and managing director (CMD) Atul Bhatt revealed. The company has produced 5.773 million tonnes of hot metal, 5.272 MT of crude steel and 5.138 MT of saleable steel. It also notched up the best-ever export sales of Rs 5,607 crore, a growth of 37 per cent over the previous financial year. And this, in the face of a raging pandemic, acute shortage of global coking coal and the looming threat of privatisation.

The dramatic turnaround of the central public sector enterprise (CPSE), which enjoys Navaratna status, is a vindication of what its employees have been demanding in a concerted campaign—give them a chance to turn things around. Helping their cause is the fact that the process of privatisation—helmed by the Department of Investment and Public Asset Management (DIPAM) in concert with transaction advisors EY and legal advisor Chandhiok & Mahajan (who were picked up from among the bidders last September)—has not made much headway, though the Cabinet Committee on Economic Affairs had put RINL up for sale on January 27, 2021.

A POLITICAL DEMAND

Meanwhile, political rivals in the state—with the exception of the BJP, of course—are united in their demand that the government reconsider disinvestment and roll back its plan. Andhra Pradesh chief minister Y.S. Jagan Mohan Reddy, who heads the ruling Yuvajana Sramika Rythu Congress (YSRC), has found common ground with rival N. Chandrababu Naidu and his Telugu Desam Party (TDP) on the subject. If in 1966, the state government of the day had passed a resolution in the assembly urging the Union government to set up the steel plant, last September the current YSRC regime adopted a resolution against privatisation. The party believes RINL ran into huge losses not because of its failure to sell its products but because of mismanagement, large-scale corruption and the apparent apathy of the Union steel ministry in checking losses when they were manageable.

Jagan Reddy himself has written twice to Prime Minister Narendra Modi about retaining RINL as a CPSE. He has suggested a few 'turnaround measures' for RINL to become profitable with support from the GoI instead of disinvestment. These include allotting captive mines to reduce input costs, swapping high-cost debt with low-cost borrowings and converting debt into equity. In his letter dated March 9, 2021, Jagan reminded the Centre how RINL has had a good run since 2002 after being referred to the BIFR (Board for Industrial and Financial Reconstruction) as a sick unit. It had increased capacity to 7.3 MT by 2019. The 19,703 acres it owns is worth more than Rs 1 lakh crore. Highlighting how the CPSE has been posting a monthly profit of about Rs 200 crore since December 2020, the Andhra CM has predicted that it will be out of the woods in two years.

RINL had been debt-free by FY2011. However, its desire to become the largest single-location plant by 2032 saw it going for a 10-year Rs 22,500 crore debt plan since the Union government was unwilling to provide any funds for the expansion. That debt is being serviced at 14 per cent, with interest payments eating into RINL's earnings.

Employees' unions, under the banner of the Visakha Ukku Parirakshana Porata Committee (VUPPC), have spearheading the agitation against privatisation. They have kept up a slew of protests, including one at Jantar Mantar in Delhi last year and a relay hunger strike camp at Kurmannapalem, in RINL's vicinity, that entered its 376th day on April 11. "We will continue our fight until the Union government rolls back the disinvestment decision," says Ch. Narasinga Rao, VUPPC chairperson and state president of the Leftist CITU (Centre of Indian Trade Unions).

"RINL will scale greater heights with rejuvenated teamwork in the future," says an optimistic Bhatt, commending "the entire RINL fraternity for its commitment and outstanding performance". The employees' collective too are determined to scale up production and profits and took a pledge in November 2021 to that effect. "Vizag Steel is not just any other steel plant," says Mantri